

Illustration by **NILANJAN DAS / AI**

DRUGS & MEDICAL DEVICES

Bottlenecks: Sequential processing of lab testing and clinical trials increased approval timelines and delayed product launches

Reforms: Parallel processing of testing and clinical-trial approvals reduces delays; improved transparency in approvals and inspection process

Benefits: Faster approvals; quicker innovation and product development; improved global competitiveness of pharmaceutical and medical-device sectors

BUILDING CONSTRUCTION

Bottlenecks: Developers faced overlapping rules, excessive prescription and uncertainty between national and local regulations

Reforms: National Building Code restructured as voluntary National Building Standards, focused mainly on structural and fire safety norms; several overly prescriptive provisions removed

Benefits: Faster project execution; improved land utilisation; easier infrastructure and industrial development

COMPANIES ACT

Bottlenecks: Annual director KYC filings created recurring paperwork for companies even when details remained unchanged

Reforms: Director KYC requirement reduced from annual filing to once every three years

Benefits: Lower compliance burden for startups and newly incorporated companies

LOGISTICS

Bottlenecks: Storage infrastructure was often underutilised because sharing was restricted by various regulations of the Petroleum & Explosives Safety Organisation; separate approvals needed for night operations

Reforms: Shared storage facilities permitted; one-time approval for night loading and unloading at licensing stage

Benefits: Better utilisation of warehouses and storage assets; lower logistics and infrastructure costs across supply chains

MSMEs

Bottlenecks: Growing firms lost regulatory benefits as they scaled up and faced additional compliance obligations

Reforms: Revised definition of 'small company' under the Companies Act—turnover threshold raised from Rs 40 crore to Rs 100 crore; paid-up capital limit up from Rs 4 crore to Rs 10 crore; lifetime CTO validity

Benefits: Compliance relief for around 10,000 companies; lower operating costs; easier scaling and growth

TOURISM & HOSPITALITY

Bottlenecks: Hotel projects faced multiple approvals and financing delays linked to classification requirements

Reforms: Project-stage approval by the tourism ministry removed; star classification delinked from licences, approvals and loans

Benefits: Faster hotel development; reduced regulatory delays; easier access to financing and investment

MEDICAL EDUCATION AND PRACTICE

Bottlenecks: Seat caps and population-based restrictions limited expansion of medical colleges and MBBS seats

Reforms: 150 UG seat annual intake cap removed; 100 MBBS seats per one million population ceiling removed

Benefits: Expansion of medical colleges and seat capacity; larger healthcare workforce over time